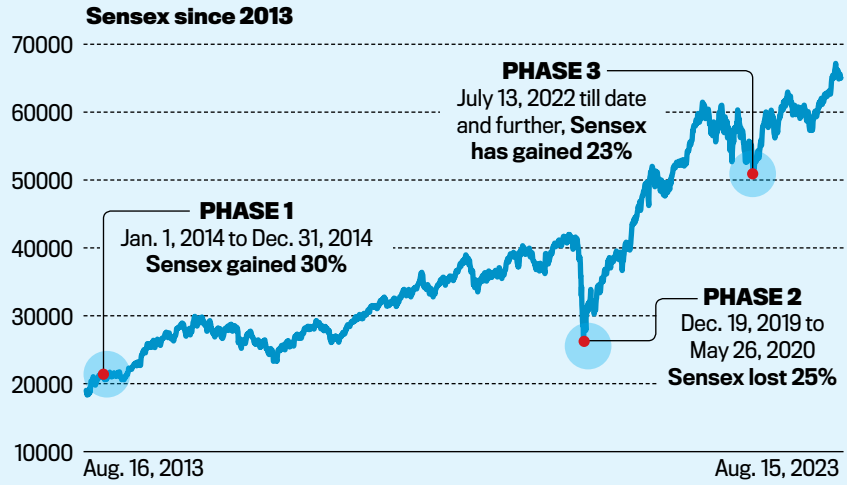
SENSEX OVER THE PAST DECADE



Over the past decade, the BSE Sensex has gone up from start to end based on the index values. In this period, there have been phases when the index has gone down and up, which indicates the unpredictability of the stock markets. What investors can learn from the graph is that there will be short-term fluctuations in the stock markets but, in the long run, the potential to gain exists. Invest with caution and based on a strategy during bull and bear phases to benefit from the virtues of long-term investments.

Source: BSE India

terest rates. Investors need to realise that over the very long term, say a period of 10 to 30 years and more, stock markets have been on a bull run. Sometimes the bull runs fast and sometimes it doesn't run as fast as one expects it to. So, when one hears about a bull run, it needs to be associated with a certain time-frame—a bull run over a year, five years, 10 years, or even longer.

At over 65,000, there is a lot of froth building up in the Indian equity markets at present and a correction may occur, which will be useful to temper the speculative fervour. This doesn't mean that the current up-cycle doesn't have the potential to extend for a longer term. Think of small corrections in the short-term as the speed breakers installed to check on vehicle speed on roads. There are times of sharp corrections like the one that occurred in 2020 when the market fall over a short period of three months shaved 34 per cent off the Sensex during the pandemic.

Generally, bull runs are born on pessimism. "Bull runs grow on scepticism, mature on optimism and die of euphoria," said John Templeton, the legendary Wall Street fund manager way back in 1939. If you look over the past two decades, two instances stand out—the 2008 financial crisis and the 2020 pandemic.

WAITING FOR A MARKET CORRECTION TO START INVESTING WOULD RESULT IN OPPORTUNITY LOSS, WHICH IS EXACTLY WHY YOU SHOULD INVEST IN ANY MARKET CONDITION

Ideally, at both times, the correct response was to close your eyes and buy stocks to benefit from the underlying bull run. A close look into the stock markets indicates that the current market rally is not just dominated by a segment of the market.

So, it is not a particular sector or size of company which is driving it. Conventionally, a bull run is characterised by sharp gains in the large-cap segment followed by mid- and small-caps. However, this time around there is an as much strong gain in small- and mid-caps as in large-caps and across sectors. In fact, if the large-caps were to gain as much as the others, the leading market indicators would show a much higher position for the indices.

The lesson from such occurrences is to stay invested irrespective of the falls or use such falls as an opportunity to invest. After all, the upswing that the markets witnessed from the lows was equally swift as investors got a whiff of revival and rushed to bargain hunt. Short bull runs are often categorised by events which are driven by enthusiasm. Successful long-term investing is about staying the course by making adjustments every once in a while and adapting to changing conditions around us to benefit from the virtues of long-term investing.

IT DOESN'T MATTER WHETHER IT IS A BULL OR A BEAR

We are a year away from the general election and the mood of the economy is one of growth and optimism. While inflation is a cause of concern, the RBI has been working relentlessly to control it and to a large extent it has put a pause to changing interest rates to curtail in-